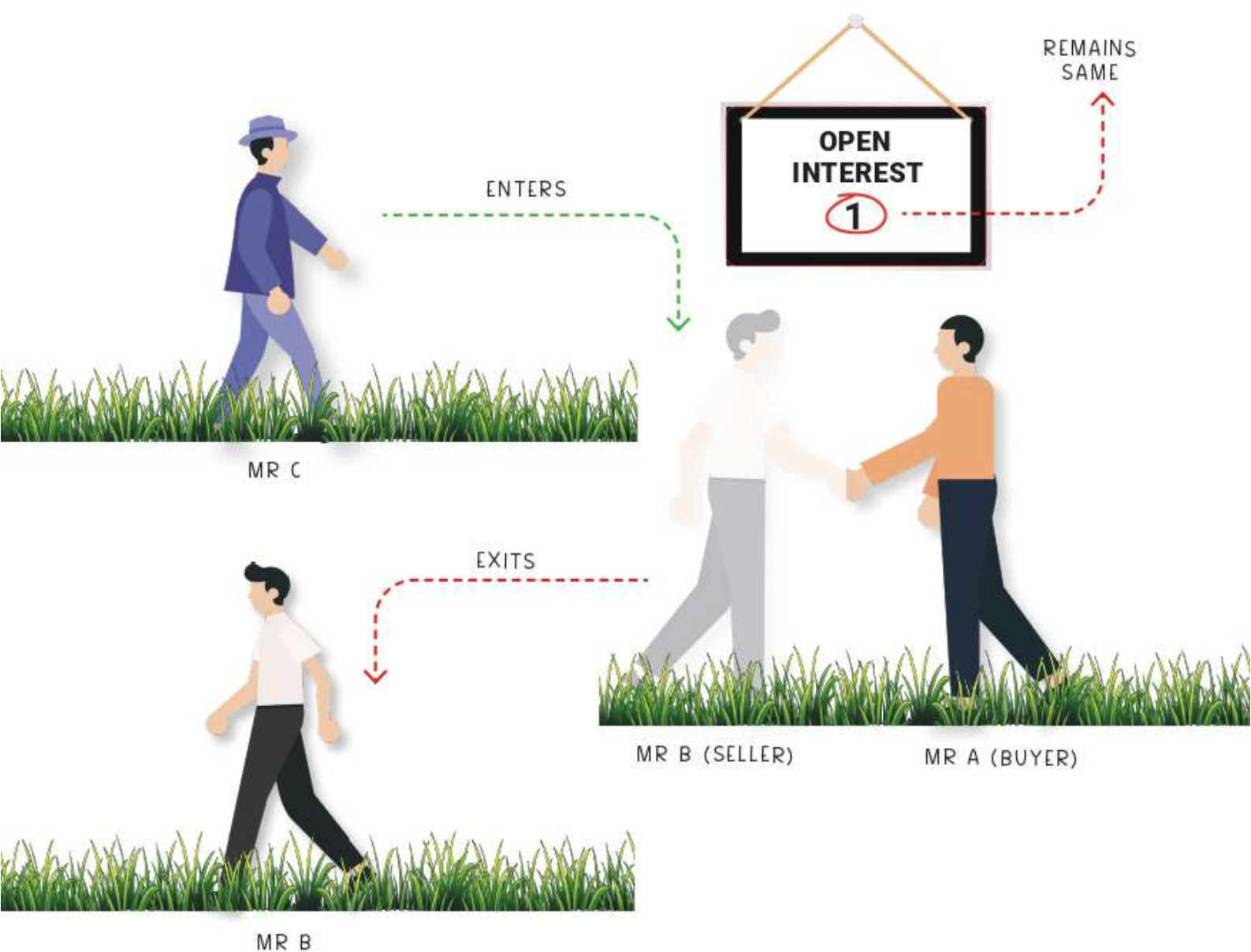


However, if the existing contract positions are bought or sold, the Open Interest does not change.

For instance, the seller of a put option Mr B decides to get out of the contract. So, Mr B can sell the contract to Mr C (say) on the exchange, after meeting the obligations to date and then Mr C will replace his position in the contract. This buying and selling of the existing contracts would not affect the Open Interest.



Volume, on the other hand, would account for such secondary buying and selling of option contracts. So, if the same option is bought and sold 5 times, open interest will remain the same but the volume will be 5.